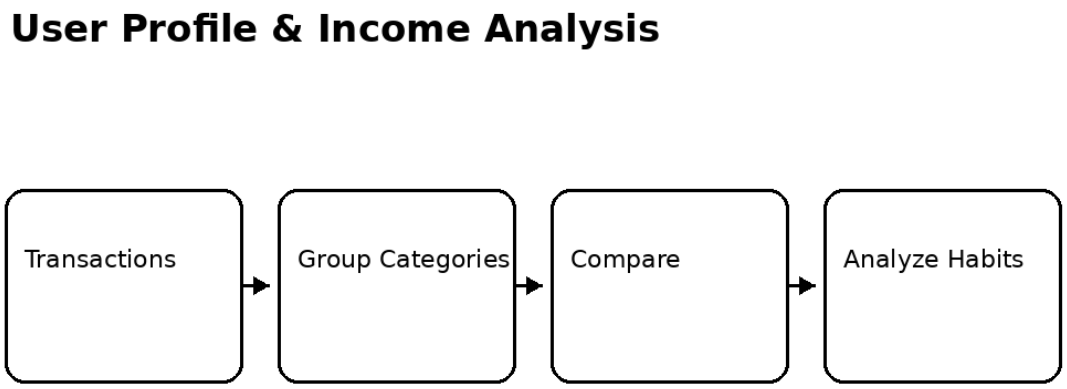
2.2 Spending Habits

1. Introduction

Spending Habits analysis studies previous transactions to understand how a user normally spends money. The system can group transactions into categories such as food, transport, shopping, education, entertainment and bills. By comparing category totals, the system can identify frequently used categories and areas where expenses are increasing. This information can be used to provide more relevant financial suggestions.



2. Objectives

• Analyze previous expense transactions.

• Identify frequently used spending categories.

• Calculate category-wise spending.

• Detect increases in expenses.

• Provide useful information for budgeting and recommendations.

3. Detailed Working Process

• The system collects previous transaction records.

• Transactions are grouped by category.

• The amount spent in each category is calculated.

• Category totals are compared with previous periods.

• Frequently used or increasing categories are identified.

• The results can be displayed through tables, charts or summaries.

4. Key Features

• Transaction history analysis

• Category-wise totals

• Spending comparison

• High-spending category identification

• Monthly spending trends

• Personalized recommendations

5. Benefits

• Helps users understand spending behavior.

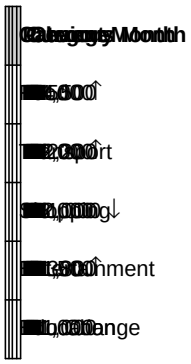
• Makes unnecessary spending easier to identify.

• Supports better budget allocation.

• Provides useful data for future planning.

• Allows recommendations to be based on actual transaction history.

6. Sample Data Table



7. Sample Python Coding

```
# Spending Habits Analysis
expenses = {
"Food": 4500,
"Transport": 2200,
"Shopping": 2000,
"Entertainment": 1800,
"Education": 1000
}

print("--- SPENDING HABITS ---")
for category, amount in expenses.items():
print(category, ": ■", amount)

highest = max(expenses, key=expenses.get)
print("Highest spending category:", highest)
```

8. System Integration

This module can be connected with expense tracking, savings, budgeting and reporting modules. The user's income, spending behavior and goals can be combined to create a more personalized financial

management workflow.

9. Conclusion

User Profile & Income Analysis provides the basic information required for personalized financial planning. By combining income details, spending habits and financial goals, the system can organize budgets and recommendations around the user's actual financial information.